www.aib-axysafrica.com
research@aib-axysafrica.com

ABSA Bank Kenya Q1'2026 Earnings Note

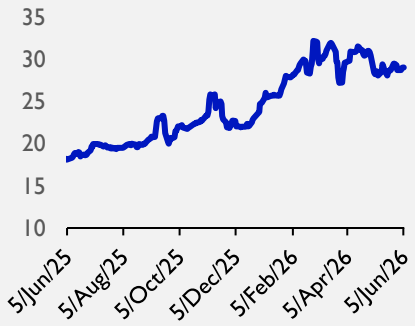


ABSA Bank Q1'26 Earnings Note

8th June, 2026

Ticker Information	
NSE Code:	ABSA
Issued Shares (Bn):	5.43
52-week high:	KES 15.00
52-week low:	KES 33.00

Chart 1: Price Trend (Last 12 Months)



Source: NSE, AIB-AXYS Research

Historical Share Performance

Last	1M	3M	6M	12M
Change	2.1%	(9.4%)	27.7%	60.5%

Source: NSE, AIB-AXYS Research

Recommendation	Current Price	Target Price
BUY	**KES 29.05**	**KES 31.78**

Summary

ABSA Bank Kenya reported a 13.9% y/y decline in Profit After Tax, which came in at KES 5.31 Bn. This performance was characterized by declines of 7.9% y/y and 5.2% y/y in net interest income and net non-interest income, respectively, to KES 10.37 Bn and KES 4.28 Bn, while total operating expenses increased by 2.4% y/y to KES 7.16 Bn. The balance sheet expanded, with total assets rising to KES 571.30 Bn despite a 1.5% y/y contraction in loans and advances. On a positive note, gross non-performing loans declined by 13.5% y/y to KES 38.11 Bn.

Key Highlights

- **Earnings Summary:** During the review period, interest income from loans and advances declined by 13.2% y/y to KES 9.97 Bn. We attribute this performance to an accommodative monetary environment, which compressed margins, coupled with a contraction in the loan book. Revenue from government securities declined by 6.8% y/y to KES 2.98 Bn, driven by a softening yield curve as policymakers continued to lower interest rates. However, interest income from deposits and placements increased by 54.2% y/y to KES 0.57 Bn. Consequently, total interest income declined by 10.2% y/y to KES 13.52 Bn.
- On the expense side, total interest expense declined by 17.1% y/y to KES 3.15 Bn. This was largely driven by a low-interest-rate environment, helping to mobilize cheaper deposits. Meanwhile, expenses on deposits and placements edged up by 0.3% y/y to KES 0.36 Bn.
- On the non-funded income side, total net non-interest income declined by 5.2% y/y to KES 4.28 Bn. Fees and commissions on loans fell by 4.8% y/y to KES 0.27 Bn, while other fees increased by 11.9% y/y to KES 2.00 Bn. At the same time, foreign exchange trading income declined by 17.9% y/y to KES 1.26 Bn, largely due to currency stability and lower transaction volumes.
- Loan loss provisions declined marginally by 0.6% y/y to KES 1.46 Bn as asset quality improved. However, staff costs rose by 33.8% y/y to KES 3.89 Bn, contributing to a 2.4% y/y increase in total operating expenses to KES 7.16 Bn.

Asset quality

Prudent loan book management was evident during the period, as gross non-performing loans declined by 13.5% y/y to KES 38.11 Bn. The NPL ratio improved by 1.5 percentage points to 11.6%, while NPL coverage increased to 66.6% from 65.2%. The cost of risk remained relatively unchanged at 0.5%.

Balance Sheet Dynamics

The balance sheet expanded, with total assets increasing by 9.8% y/y to KES 571.30 Bn. Total investment securities rose by 23.4% y/y to KES 130.63 Bn. Notably, government securities increased by 21.3% y/y to KES 128.46 Bn as the lender continued to deploy liquidity in government securities. Cash and bank balances increased significantly by 44.1% y/y to KES 41.08 Bn. Net loans and advances declined slightly by 1.5% y/y to KES 303.84 Bn. On the other hand, customer deposits increased by 7.5% y/y to KES 399.13 Bn, placements rose by 10.5% y/y to KES 12.21 Bn, while borrowings increased by 32.8% y/y to KES 4.48 Bn.

Operating Efficiency

Operational efficiency weakened during the period, with the cost-to-income ratio (excluding loan loss provisions) rising by 3.9 percentage points to 38.9% from 35.0%, as operating income declined by 7.1% y/y. Cost-to-assets (excluding loan loss provisions) also deteriorated slightly to 1.1% from 1.0%.

Outlook

ABSA's net earnings declined during the first quarter, primarily due to lower revenues from its core lending business and non-funded income streams. The low-interest-rate environment continued to pressure earnings as lending rates declined, compounded by a slight contraction in loans and advances. Going forward, we anticipate policymakers may consider rate hikes to address rising inflationary pressures. Such a move would likely support loan repricing and provide room for higher yields on loans and government securities, thereby boosting topline growth. ABSA continues to benefit from a strong non-funded income franchise, which is expected to support earnings growth going forward. We expect continued support from the foreign exchange business, particularly as the bank leverages its "Personalized FX" platform, as well as from asset management, where assets under management have continued to grow. Additional support is also expected from bancassurance and other emerging business lines.

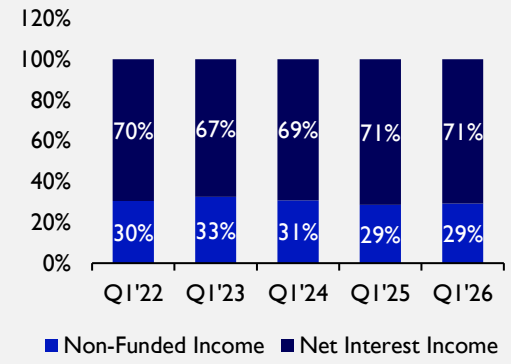
Furthermore, ABSA has continued to invest in its digital platforms, which we expect will drive growth in digital lending and enhance customer engagement. These initiatives should also contribute positively to non-funded income growth over the medium term.

Geopolitical tensions in the Middle East remain a key external risk; however, they have not yet had a material impact on the banking sector.

Recommendation

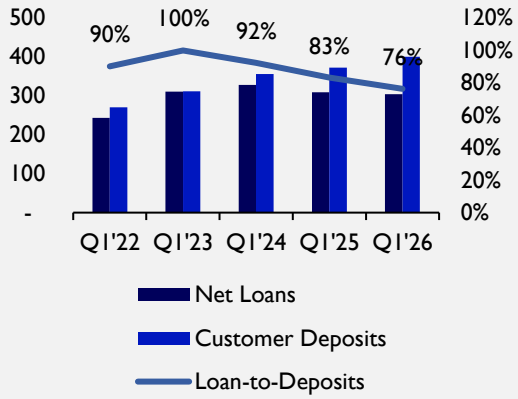
We issue a BUY recommendation on ABSA, supported by tangible growth catalysts from both non-funded and funded income streams and improving asset quality. At the current market price, the stock is trading at a P/E ratio of 7.16x and a P/B ratio of 1.5x. Our one-year target price for ABSA stands at KES 31.78, implying an upside potential of approximately 9.4% from current levels.

Chart 2: Earnings Mix



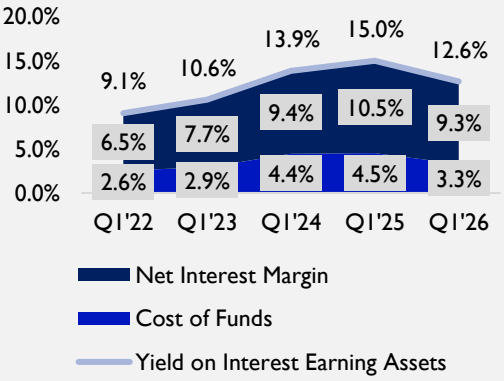
Source: Company filings, AIB-AXYS Research.

Chart 3: Faster Deposit Mobilization



Source: Company filings, AIB-AXYS Research.

Chart 4: Margins Trend



Source: Company filings, AIB-AXYS Research.

Income Statement (KES Bn)	Q1'22	Q1'23	Q1'24	Q1'25	Q1'26	y/y % Change
Net Interest Income	6.88	9.36	11.39	11.26	10.37	▼ (7.9%)
Net non-Interest Income	3.02	4.50	5.08	4.51	4.28	▼ (5.2%)
Total Operating income	9.90	13.86	16.46	15.77	14.65	▼ (7.1%)
Provision for Impairment	(1.18)	(2.40)	(2.40)	(1.47)	(1.46)	▼ (0.6%)
Total Operating expenses	(5.60)	(7.44)	(7.98)	(6.99)	(7.16)	▲ 2.4%
Profit before tax	4.30	6.42	8.48	8.78	7.49	▼ (14.7%)
Profit after tax	2.95	4.45	5.95	6.17	5.31	▼ (13.9%)
Annualized EPS	2.18	3.28	4.38	4.54	3.91	▼ (13.9%)

Balance Sheet (KES Bn)	Q1'22	Q1'23	Q1'24	Q1'25	Q1'26	y/y % Change
Total Investment Securities	136.73	134.26	85.73	105.89	130.631	▲ 23.4%
Loans and Advances	242.67	309.97	326.84	308.38	303.84	▼ (1.5%)
Total Assets	438.50	514.60	497.68	520.20	571.30	▲ 9.8%
Customer Deposits	269.54	310.83	354.96	371.19	399.13	▲ 7.5%
Total Liabilities	379.35	446.62	422.65	427.65	465.21	▲ 8.8%
Shareholder's Funds	59.15	67.98	75.02	92.55	106.09	▲ 14.6%

Ratio Analysis	Q1'22	Q1'23	Q1'24	Q1'25	Q1'26	y/y % Change
Spreads Analysis						
Yield on Assets	9.1%	10.6%	13.9%	15.0%	12.6%	▼ (2.4%)
Cost of Funds	2.6%	2.9%	4.4%	4.5%	3.3%	▼ (1.2%)
Net Interest Margin	6.5%	7.7%	9.4%	10.5%	9.3%	▼ (1.1%)
ROaE	21.2%	25.3%	25.0%	25.2%	22.2%	▼ (3.0%)
ROaA	2.8%	3.4%	3.5%	4.1%	4.0%	▼ (0.1%)
Profit Margin	29.8%	32.1%	36.1%	39.1%	36.3%	▼ (2.8%)
Operating Efficiency						
Cost to Income Less LLP	44.6%	36.3%	33.9%	35.0%	38.9%	▲ 3.9%
Cost to Assets Less LLP	1.1%	1.1%	1.1%	1.1%	1.0%	▼ (0.0%)
Loan to Deposit Ratio	90.0%	99.7%	92.1%	83.1%	76.1%	▼ (7.0%)
Asset Quality						
Gross NPL Ratio	7.6%	9.4%	11.1%	13.1%	11.6%	▼ (1.5%)
NPL Coverage	76.2%	63.9%	62.3%	65.2%	66.6%	▲ 1.4%
Cost of Risk	0.5%	0.8%	0.7%	0.5%	0.5%	▲ 0.0%
Capital Adequeny						
Core Capital/TRWA	14.5%	14.1%	14.2%	17.3%	18.6%	▲ 1.3%
Total Capital /TRWA	17.0%	18.1%	17.9%	20.4%	21.0%	▲ 0.6%
Liquidity	36.7%	28.6%	33.5%	46.9%	53.2%	▲ 6.3%



CONTACTS

Research Desk

Email: research@aib-axysafrica.com

Equities Dealing

Email: trading@aib-axysafrica.com

Bond Dealing

Email: trading@aib-axysafrica.com

Global Markets & Offshore products

Email: invest@aib-axysafrica.com

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